

INEQUALITY AND ECONOMIC DEVELOPMENT



**RESEARCH AND METHODOLOGY
PROJECT**

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INEQUALITY AND ECONOMIC DEVELOPMENT

**SUBMITTED FOR THE PARTIAL FULFILLMENT OF AWARD OF BACHELOR'S DEGREE IN
ECONOMICS**

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I also want to express my thanks to all my friends and seniors who helped me by providing the tools ,I needed to complete this project successfully. Without their help, I would not have been able to.

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DECLARATION

I do hereby declare that this report is an original report of my part of Research and Methodology project. It has been written by me and has not been submitted for any other previous degrees. The collaborative contributions have been indicated clearly and acknowledged. I declare that this project report is prepared by myself under the guidance of Dr. Manas Kumar Pedi.

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CERTIFICATE OF GUIDANCE

This is to certify that this research paper on Inequality and Economic Development is submitted by Smitashree Das (21116013), KIIT school of Social, Financial and Human Sciences, KIIT Deemed to be University. It is a record of bonafide work carried out by her during her course period under my supervision and guidance

It embodies the report of her qualitative research study on Inequality and has not been submitted to any other University for the award of any degree,

I wish her all the best and success in future endeavors.

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CHAPTER I : INTRODUCTION

Economic growth has been an important aspect for individuals, policy makers, countries, etc. to. Each and every macroeconomic institutions initiate policies and act accordingly that would lead to an increase in aggregate national wealth. We find that economists, policy makers, social scientists and politicians are all driven by the idea of high economic growth countries. Multilateral agencies like the World Bank and the International Monetary Fund are always talking of a fast rate of economic growth so that people can improve their living standards and make full use of their capabilities. However, it is observed that in spite of economic growth, development of all components of the economy is not taking place and one of the main barrier is the inequality around it. So, to achieve higher economic growth, reducing inequalities of all kind specially economic inequality is important.

ECONOMIC GROWTH

Economic growth entails an increase in the income levels in an economy with expansion of goods and services in the economy. The two concepts of 'national income' and 'per capita income' are used to analyse the growth levels of various economies. Several theories of economic growth also explain why some economies grow faster than others. Economists such as Lientiff, Harrod and Domar have developed theoretical models to define factors that would lead to stable growth in an economy. These explain that there is a close link between technological change and the capacity to invest by individuals or governments. Growth can also refer to increase in stock of factor inputs as well their productivity.

In 1960s, W.W. Rostow developed a 'stages-of-growth model' of development with five categories, i.e., the traditional society, the pre-conditions for take-off into self sustaining growth, the take-off, the drive to maturity and the age of high mass consumption. Developed countries were considered to be in the stage of self sustaining growth and beyond. The developing countries were considered to be either traditional societies or working towards pre-take off stage.

Robert Solow, in his growth model argued that economies with similar rates of savings, capital accumulation, depreciation and growth in labour force and productivity will converge to similar income levels. The growth model developed by Solow yields diminishing returns to capital and labour. The neoclassical growth models could not explain the differential

growth rates and pattern of growth in underdeveloped countries even when they had high levels of capital infusion. In practice we observe that the gap between rich and poor countries is widening.

ECONOMIC DEVELOPMENT

The concept of 'development' has wider connotation than the concept of 'growth'. Economic development refers to the economic and social transformation that takes place in a country or in some parts of the country. Factors like literacy, levels of income of the population, inequality, and health care facilities are taken into consideration while talking about development. Economic growth signifies the quantitative dimensions while economic development refers to qualitative aspects of progress being made. There are several factors which can improve quality of life. The most important ones are: improvements in literacy and skill formation, accessibility to basic needs such as food, drinking water, health, and housing facilities, and availability of infrastructure such as roads, electricity and communication. It has been observed that policies of economic growth pursued in the past have not led to equitable development across countries. Within countries also there have been pockets of prosperity surrounded by poverty and illiteracy. Three-fourths of the world's population lives in developing countries. In most of these countries, growth is confined to small areas, particularly urban centers and some industrial areas. They most often have a wealthy minority with vast levels of inequality among the poor majority. These inequalities are visible in terms of deprivations of various kinds and a very low quality of life. It can be said that growth can take place in the absence of a development due to faulty distributional policies.

It is accepted by policy makers that development should be multi-dimensional. It should lead to eradication of poverty, reduction of inequalities and dismantling of oppressive social structures. Amartya Sen considers 'capability to function' as an , important dimension of development which should imply enhancing the lives people lead and freedoms they enjoy.

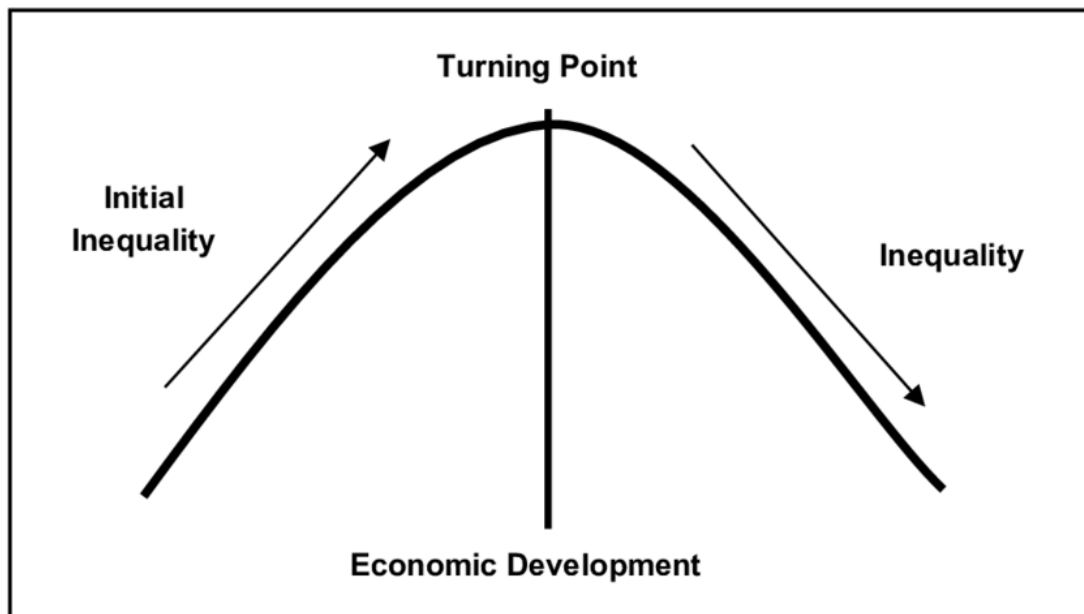
INEQUALITY

Inequality is an economic phenomenon that has always existed in human history. The differences on wealth, opportunities and even rights are older than civilization itself. Only the explanations ,justifications and definations for inequality have varied through time (from divine rights of

the elites to work meritocracy). Whatever the motives are, human societies rarely move towards a perfectly equal distribution of resources. In Economics and other social sciences, we usually distinguish between two main classes: Economic Inequality and Inequality of Opportunities. These forms are measured by calculating the difference in income, wealth or consumption among the community. Inequality of Opportunities : This class is harder to define than economic inequality because there isn't a universally accepted measuring unit, nor a precise idea of what constitutes an opportunity. In this, the most notable are : Gender, ethnicity, geography and economic circumstances.

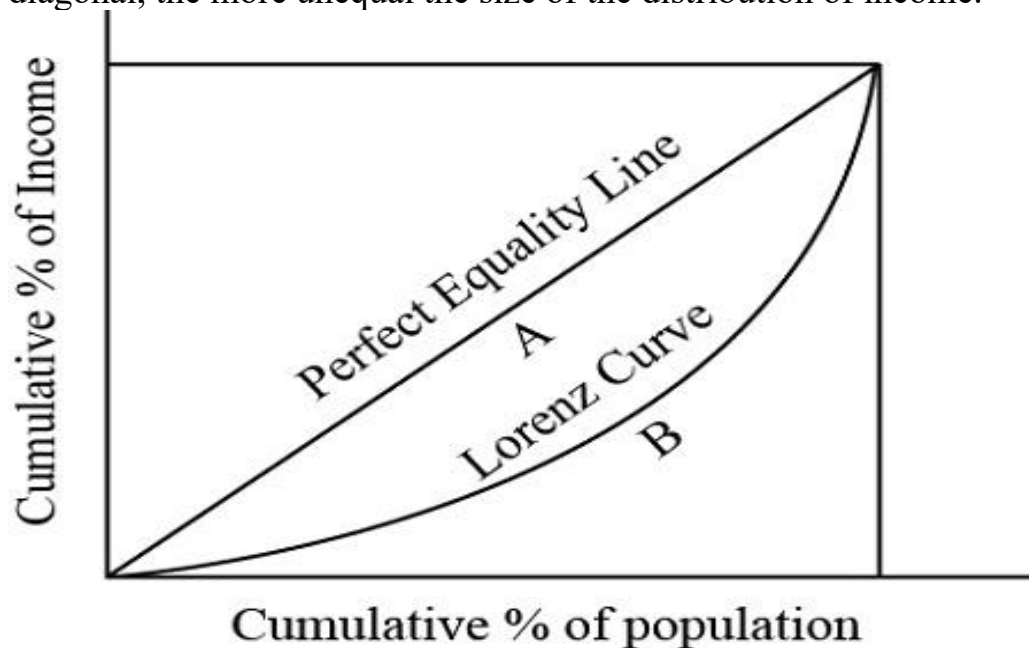
INVERTED U HYPOTHESIS

This hypothesis, put forward by Simon Kuznets, provides the main theme behind inequality and economic development. He argued that a country's industrialization process in the initial phases could lead to higher income inequalities. The process gets reversed as the level of industrialization goes up. The possible reason behind Kuznets curve is that in early stages of development, when investment in physical capital is the main engine of economic growth, inequality spurs growth by directing resources towards those who save and invest the most. In more mature economies, on the other hand, human capital accumulation takes the place of physical capital accumulation as the main source of growth. Income inequality increases in the early stages of development and then decreases. Inverted-U shape reflects view that economic development involves a transition from a low-productivity, agrarian economy to a high-productivity, industrial economy. Industrial incomes, distributed less equally than agricultural incomes, become more important during industrialization, leading to greater inequality. Industry then takes over, average incomes rise, earnings differentials fall. Growth is first unequalizing, then equalizing. Moreover, inequality impedes growth by hurting education because poor people cannot fully finance their education. The Kuznets' curve is also extended to other areas including environment.



LORENZ CURVE

One of the five major and common macroeconomic goals of a government is the equitable (fair) distribution of income. The Lorenz Curve (the actual distribution of income curve), a graphical distribution of wealth developed by Max Lorenz in 1906, shows the proportion of income earned by any given percentage of the population. The line at the 45° angle shows perfectly equal income distribution, while the other line shows the actual distribution of income. The further away from the diagonal, the more unequal the size of the distribution of income.



GINI COEFFICIENT

It is based on the Lorenz curve. It was developed by statistician and sociologist Corrado Gini. It was developed to measure the degree of concentration (inequality) of a variable in a distribution of its elements. The Gini coefficient ranges between 0 and 1. It assumes a value of zero where all individuals are equal and there is perfect equality in society and 1 in case of perfect inequality.

CHAPTER II : LITERATURE REVIEW

Bourguignon et. al(1998) in the paper Inequality and development: the role of dualism suggests major factors in country differences in income distribution And overlooked the literature on inequality and development.They intercepted the role of dualism saying the overall level of inequality in a country depends largely on the difference in the mean income of rural and urban households with differences in income inequality Taking a sample of 38 medium-sized developing countries with data from the late 1960s and early 1970s and another set of sample of 33 developing countries around 1985.

Stewart, Frances(2016) studied how inequality has evolved over the last half century in relation to development answering the three critical questions: why be concerned about inequality; inequality of what; and among whom. The paper argues that although the objective of achieving more equality is increasingly accepted, many countries are experiencing more inequality and few effective redistributive measures have been adopted. It reviews inequality, justice, horizontal inequality and globalization. This paper has drawn attention to what might be termed the inequality paradox: there are strong reasons for supporting more equality for justice and instrumental effects.It emphasizes the need to be concerned with both vertical and horizontal inequality and special attention towards national as well as global distribution.

Frazer, G. (2006) uses overlapping non parametric regression to explore the relationship between inequality and income level both in the pooled relation and within and between countries as they have developed.It criticized the previous researches on three fronts : the comparability of the data across countries, the parametric form used, and the cross-sectional nature of the tests . He uses all of the data points that are “high-quality” from the World Income Inequality Database according to the Deininger and Squire criteria.It was found out that found countries with low-income with significantly decreasing inequality (e.g., India until its income passed \$1,700). Korea and Taiwan have achieved considerable advances in per capita GDP despite having relatively small changes in inequality.Among high-income countries,the results vary.Like France and Italy experienced significant and sizeable decreases in inequality as they grew. Norway experienced a small decrease in inequality during growth.

On the other hand, the United States and the United Kingdom experienced sizeable and significant increases in inequality. However the number of "high quality" observation was limited and lack of African data.

Thai-Ha Le et. al(2020) attempted to examine the nonlinear relationship between export diversification and income inequality using a panel of 90 countries over the 2002–2014 period, including 27 low and lower-middle income economies, 22 upper-middle-income economies, and 41 high income economies and the before- and after-tax and transfer Gini indexes as proxies for income inequality, while overall export diversification, export-extensive margin, and export-intensive margin index are employed as proxies of export diversification. Various data estimation techniques were applied to the baseline models to examine the existence of cross-sectional dependence and it was found that there is a long-run relationship between export diversification, macroeconomic factors, and income inequality. Notably, there seems to be an inverted-U shaped relationship between export diversification and income inequality. This Kuznets curve is found for the global sample and three sub samples with some minor variations.

T.B. Kavya et. al examines the interconnection between economic development and financial development on income inequality, considering Kuznets hypothesis, Greenwood and Jovanovic hypothesis and the new specification by Baiardi and Morana. It includes an unbalanced panel of 85 countries consisting of 28 high-income, 41 middle-income, and 16 low-income countries for the period ranging from 1984 to 2014 and were tested using Dynamic Panel Generalized Method of Moments (GMM) developed by Holtz-Eakin, Newey, and Rosen (1988), Arellano and Bond (1991), and Arellano and Bover (1995) to overcome the problems of potential endogeneity and unobserved country-specific effects in the data ensuring the best fit for panel data. The results of the Kuznets curve hypothesis show that only high-income nations are in favour of a Kuznets curve. The U-shaped relationship between economic progress and income disparity is supported by both middle-income and low-income countries. Examining the financial curve hypothesis further indicates that high-income nations exhibit an inverted U-shaped association between financial development and income inequality, whereas middle- and low-income countries exhibit a U-shaped relationship. In addition, the financial Kuznets curve hypothesis discovered that the actual findings in high-, middle-, and low-income nations cast doubt on the notion that financial and economic development together will lower income disparity. Overall, the empirical evidence on

rising income disparity demonstrates that there isn't strong evidence to back up the claim that financial and economic development would help to solve the inequality problem. Furthermore, even the most developed or sophisticated nations do not profit from financial progress. As a result, even in the age of financial globalization and market integration, the income gap between the top 1 percent and the remaining 99 percent is widening significantly. Income inequality increases as a result, and the wealthiest few households now own more than half of the global wealth.

Qiang Wang et.al(2023) explored the impact of income inequality on the environmental Kuznets curve (EKC) hypothesis. Here, 56 countries were selected as research objects excluding the low-income countries and the time period taken from 2003 to 2018. Control Variables used were urbanization level, renewable energy consumption, trade openness, and industrial structure to see the connection between carbon emissions and economic growth. Baseline regression model and Panel threshold regression model were used. The empirical findings demonstrate that income inequality has transformed the inverted U-shaped relationship between economic growth and carbon emissions into an N-shaped relationship, which redefines the environmental Kuznets curve and adds complexity to the process of decoupling economic growth from carbon emissions. Particularly, when income disparity is low, carbon emissions are greatly increased by economic expansion; yet, as income inequality rises, carbon emissions are significantly reduced by economic growth. Economic expansion prevents the rise in carbon emissions during a time of substantial wealth disparity. However, when income disparity rises, economic growth's effect on carbon emissions shifts from being hindering to encouraging. According to panel regressions for robustness testing, this pattern is particularly noticeable in high-income nations. Therefore, it is argued that the income distribution policy needs to be incorporated into the carbon neutral approach since excessive income disparity is detrimental for the dual-benefit goal of economic growth without a rise in carbon emissions.

Topuz, S.G(2022) seeks to ascertain if the effect of income disparity on economic growth is actually realized through theoretically expressed transmission mechanisms for 143 countries and the periods between 1980 and 2017 through positive and negative channels. The estimates mainly focus on the impact of inequality on the channel variable. The study uses a two-stage estimating procedure. The first stage calculates the effects of income inequality on the channel variables' proxies, and the second stage looks at the effects of these variables on economic growth. The study's findings show that there is a complex relationship between income

disparity and economic growth. The estimation results show that while inequality raises fertility rates across all income levels, it has a detrimental impact on human capital both directly and indirectly due to flaws in the loan market.

In countries with relatively low incomes, these political channels detrimental effects on economic growth are particularly obvious. Therefore, governments can increase family knowledge through a variety of educational measures, especially in low-income nations. According on the countries' income levels, the findings in the political economy channel estimates vary. Redistribution is unaffected by inequality in low-income countries, whereas it is positively impacted in wealthy nations. Redistribution can be challenging in low-income nations due to the inadequacy of their democratic institutions, which can be seen as one of their fundamental issues. Because of this, structural changes should be made to the institutions in these nations that will guarantee democratic rights and freedoms while also policing their effective application. Additionally, it could be difficult to collect taxes effectively and allocate them to economic activities in these underdeveloped financial nations. So, it is unclear how income disparity and economic growth are related, and additional research is required to make this connection clearer. There are certain limitations to this study even though the robustness of the results is controlled by employing panel estimating techniques and various indicators. There is lack of observations for the chosen variables, particularly in low- and lower-middle income nations and particularly in these countries, data limitations impede extensive study using different variables or methodologies.

CHAPTER III : OBJECTIVE

The objective of this research paper is to see the relationship between Inequality and Economic Development in developed , developing and under developed countries.

Without regard to national boundaries, inequality in income can be researched inside countries, between countries, or across the entire global population. In addition to structural and cultural factors like divided labour markets, discrimination, institutionalised racism and sexism, gender roles, and family duties, income disparity is largely a reflection of individual variations in talent and drive. Independent of personal characteristics, other legal, political, and economic considerations, such as corporate power, the proportion of public vs private (or common) ownership and management of resources, collective bargaining systems, and minimum wage regulations, also have an impact on income levels.

Depending on whether other fundamental necessities like housing, health care, and food are primarily market-based and on whether individuals have access to productive resources like land, water, and other natural resources, income inequality can have various effects on levels of well-being in different countries.

There are different perspectives as to why Inequality is a major concern as given in fields of economics and political science:

- ❖ From a moral perspective, inequality may be addressed, as shown by the universal declaration of human rights. Too much of a divide exists between the wealthy and the poor, as well as between the majority and the minority, and this is ethically unacceptable. Governments have a moral and political obligation to guarantee that everyone has access to equal opportunities.
- ❖ According to the efficiency perspective, there can be trade-offs between efficiency and equity in policy interventions. Research has shown that more equitable firms and societies perform better

economically, even if it frequently seems more effective to support those who are already doing well in the near term.

- ❖ According to economist Simon Kuznets, Inequality is an inevitable feature of the development process. So keeping in view the Kuznets perspective, inequality is predicted to rise during the early phases of development and fall over time. This technique has been used by the economists to consider how social changes can cause waves of inequality before offering solutions to lessen them. In contrast to what Kuznets predicted, these have grown stronger over time in richer cultures. With no end in sight, recent shifts in labour and technology may have ushered in a new period of inequality.
- ❖ According to poverty perspective, Inequality prevents the eradication of global poverty: When there is less inequality, the poorer people of society gain more from prosperity. Contrarily, when resources are distributed unfairly, investment favours the wealthy and the advantages of growth are less likely to reach populations who are poor and marginalised.
- ❖ According to political economy perspective, Inequality is a roadblock to development and a poison to democracy. Elite resource appropriation causes market and governmental failure. Rising inequality leads to social unrest and eventually jeopardises what economists refer to as "social capital": the capacity of communities to share similar values and work together locally to enhance their quality of life. Additionally, inequality erodes public confidence in institutions of power and public programmes.

CHAPTER IV: METHODOLOGY

The main objective of this paper is to study the relationship between Inequality and Economic development in developed , developing and under developed countries.

For this purpose,secondary data is collected.

The database is sourced from Human Development Reports and World Inequality Database.

The statistical tool used is Correlation to check the direction and extent of relationship between Inequality and Economic development in 67 countries.

Within that the countries taken are :

21 developed countries

Australia,Austria,Belgium,Canada,Cyprus,Denmark,Finland,France
Germany,Iceland,Ireland ,Japan,Luxembourg,Netherlands,Norway ,
Slovenia,Spain,Sweden ,Switzerland, United Kingdom and United States

20 developing countries

Albania,Algeria,Argentina,Belarus,Bolivia ,Bosnia and
Herzegovina,Botswana,Colombia,Gambia,Ghana,Guatemala,India,
Indonesia,Iran ,Iraq,Jordan,Madagascar,Mexico,Pakistan and Thailand

26 under developed countries

Angola ,Bangladesh ,Benin, Bhutan, Burkina, Faso, Chad, Djibouti,
Ethiopia,Haiti ,Kiribati ,Lesotho ,Liberia ,Mali ,Mauritania ,Myanmar,
Nepal ,Niger ,Sao Tome and Principe ,Senegal ,Sierra Leone ,Solomon
Islands ,South Sudan ,Tuvalu,Uganda ,Yemen and Zambia.

Quantitative variables are used. For measurement of Development : Per capita GNI is taken and for Inequality : GINI coefficient

The Gini index measures the extent to which the distribution of income or consumption among individuals or households within an economy deviates from a perfectly equal distribution. A Gini index of 0 represents perfect equality, while an index of 100 implies perfect inequality.

GNI is the total income received by the country from its residents and businesses regardless of whether they are located in the country or abroad.

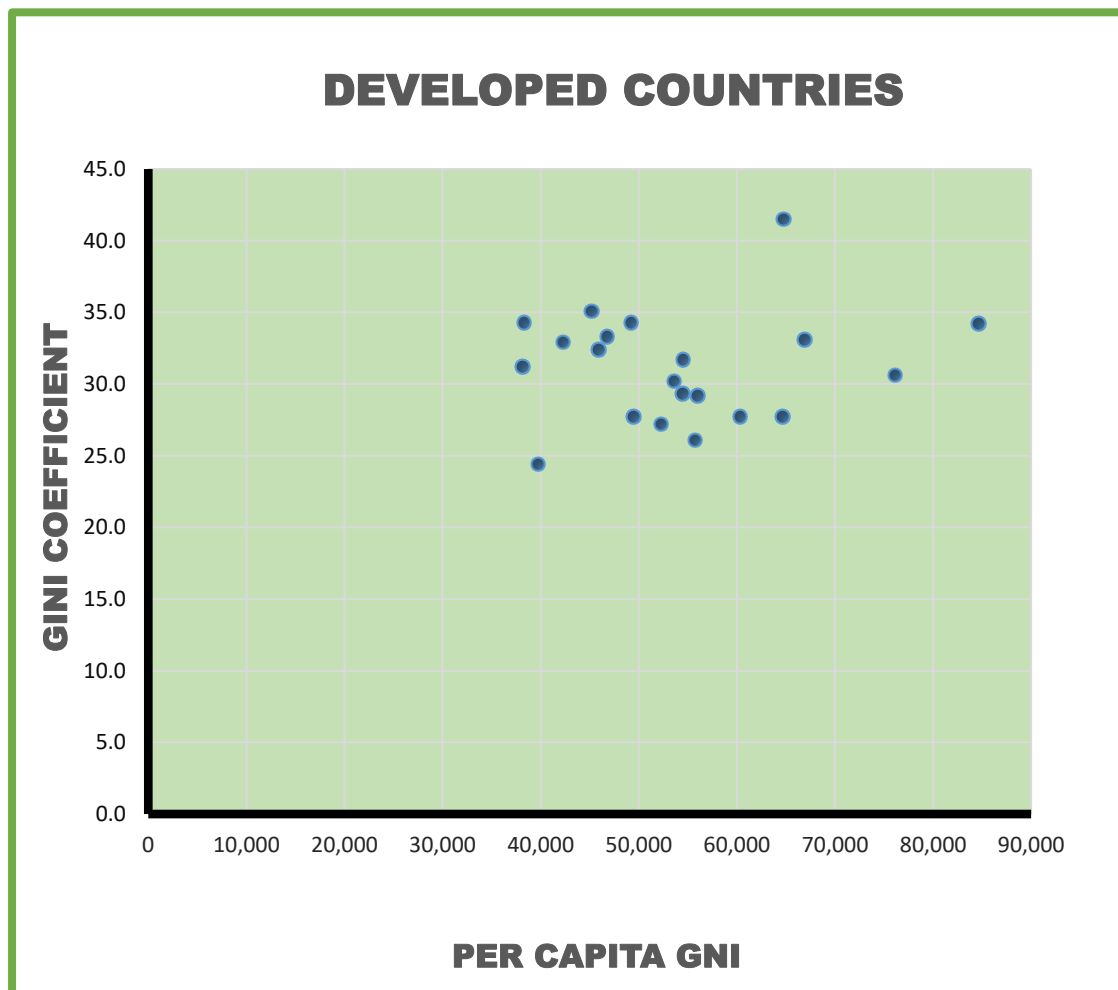
Data for Per capita GNI(in \$) and Gini coefficient index are collected from Human Development Report. The time period taken is 2021

Graphs and charts are the major tool used in the analysis process of this study for interpreting the data.

Graphs are self compiled as well as sourced from other source- World Inequality Database

CHAPTER V : DATA AND ANALYSIS

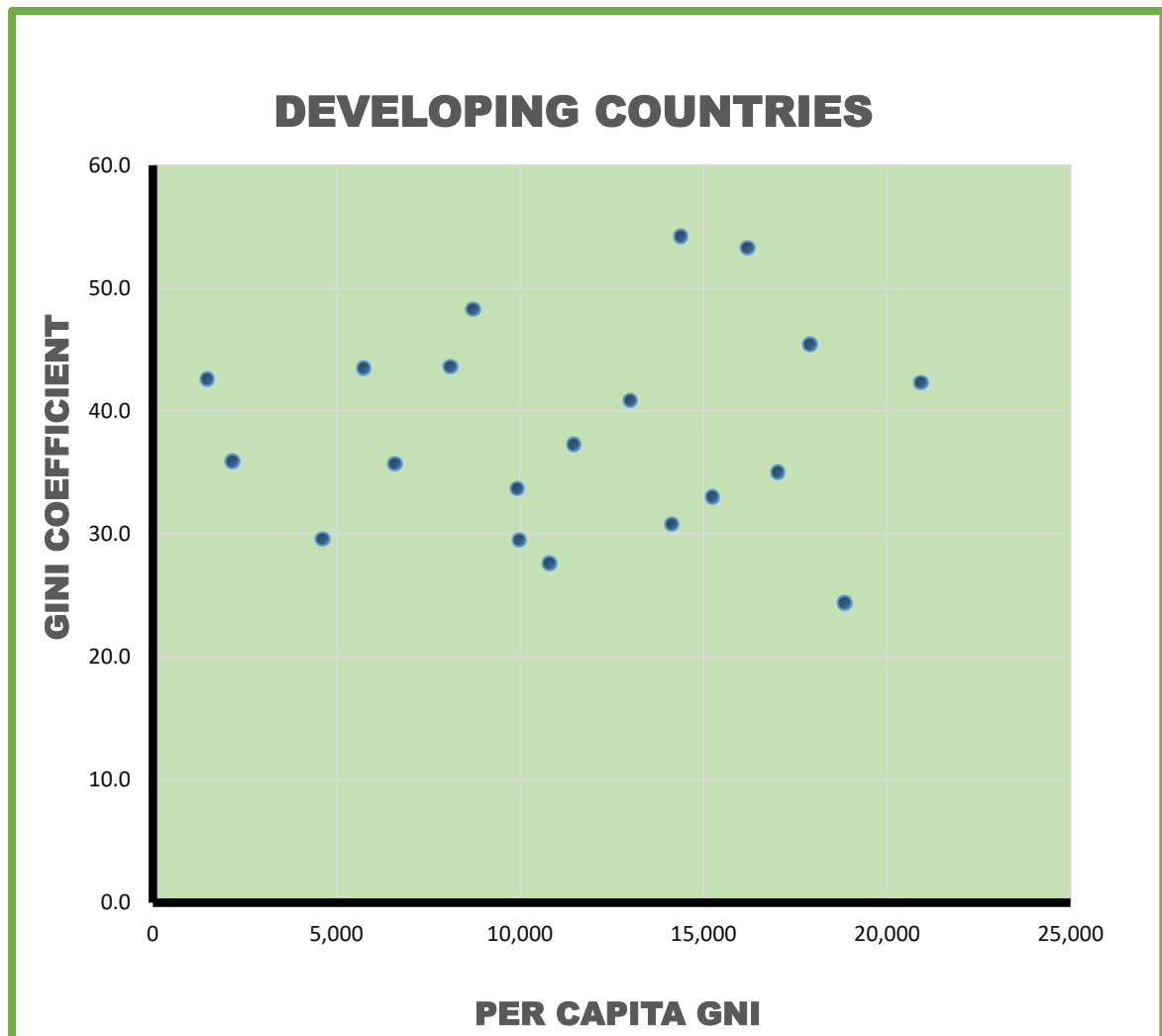
FIGURE 1. _RELATIONSHIP BETWEEN PER CAPITA GNI AND GINI COEFFICIENT IN DEVELOPED COUNTRIES



CORRELATION : 0.127278631

The correlation shows that there is a weak positive relationship between inequality and development in developed countries.

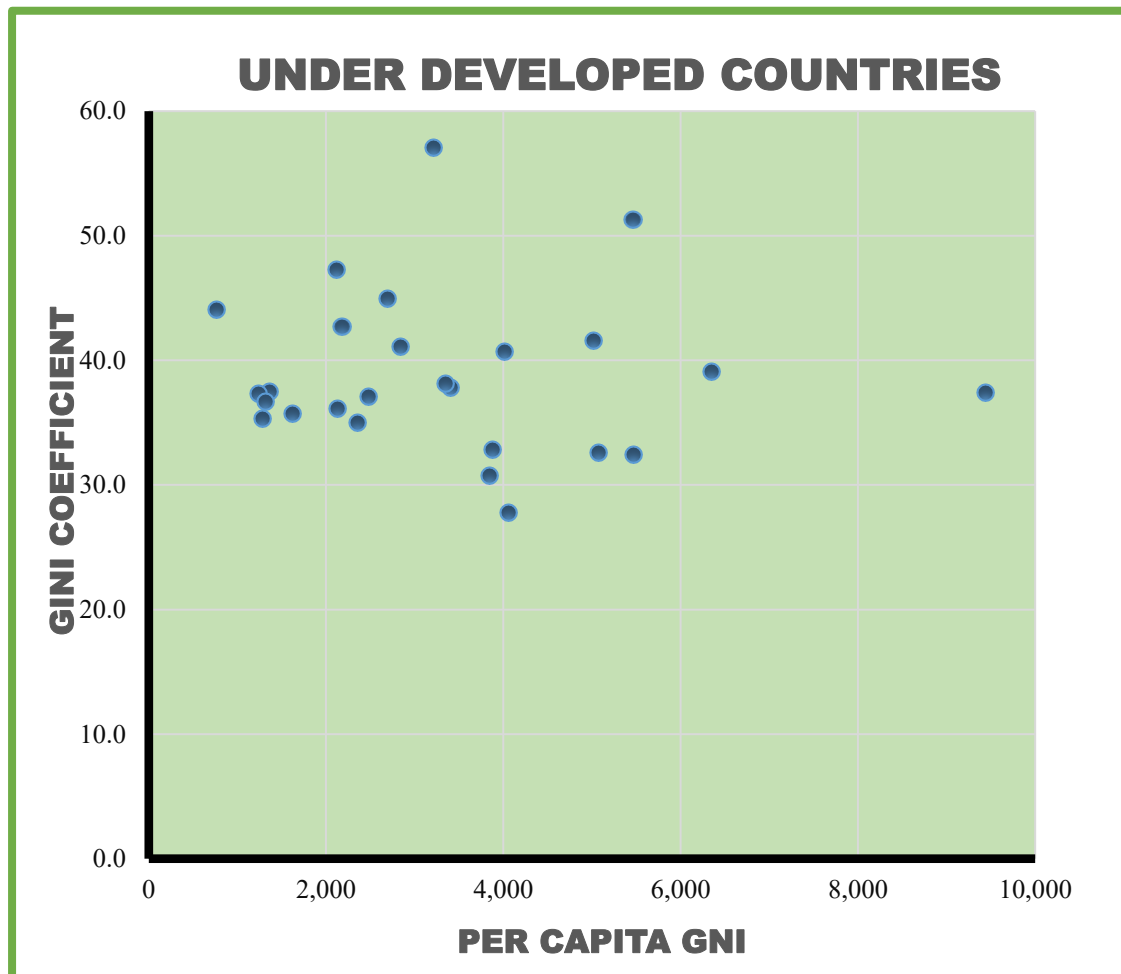
FIGURE 2. _RELATIONSHIP BETWEEN PER CAPITA GNI AND GINI COEFFICIENT IN DEVELOPING COUNTRIES



CORRELATION : 0.05464791

The correlation shows that there is a very weak positive relationship between inequality and development in developing countries.

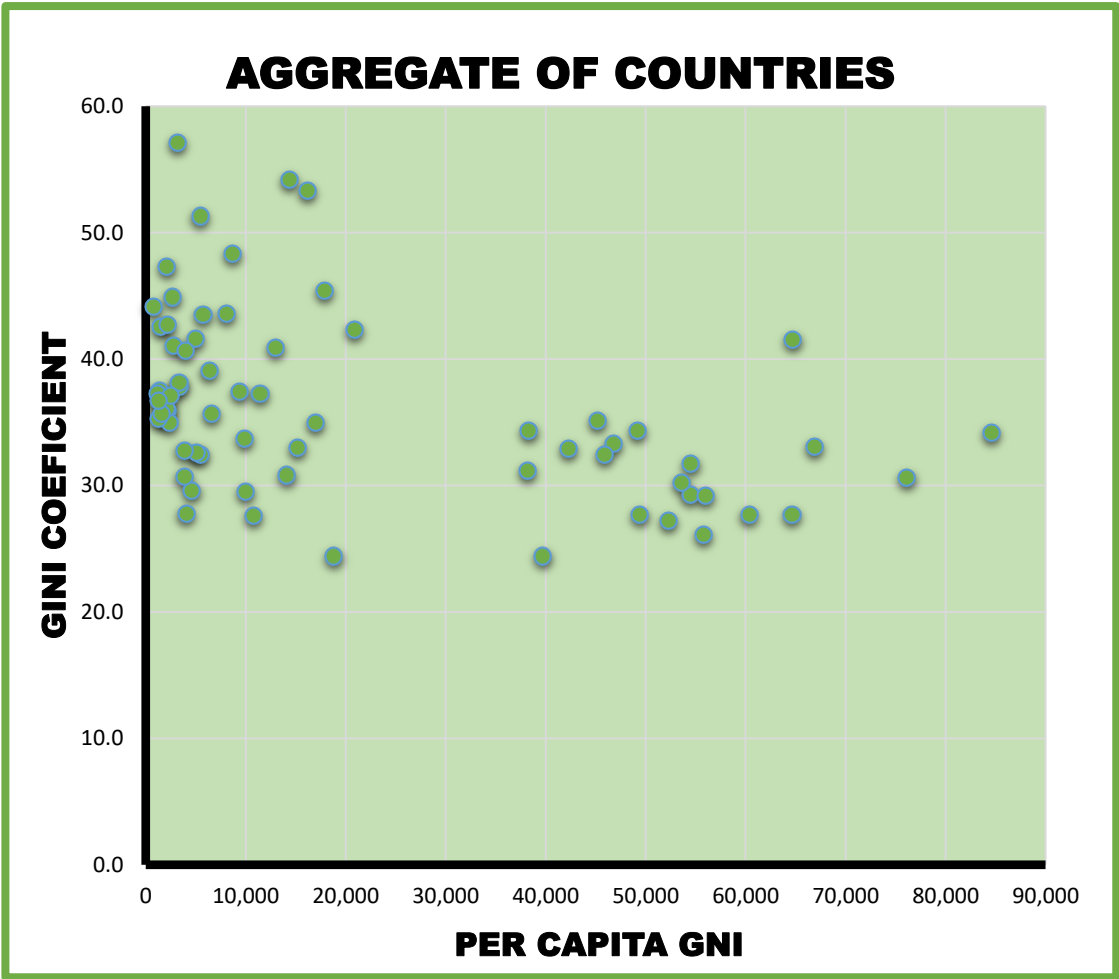
FIGURE 3. RELATIONSHIP BETWEEN PER CAPITA GNI AND GINI COEFFICIENT IN UNDER DEVELOPED COUNTRIES



CORRELATION : -0.063186387

The correlation shows that there is a negative relationship between inequality and development in under developed countries.

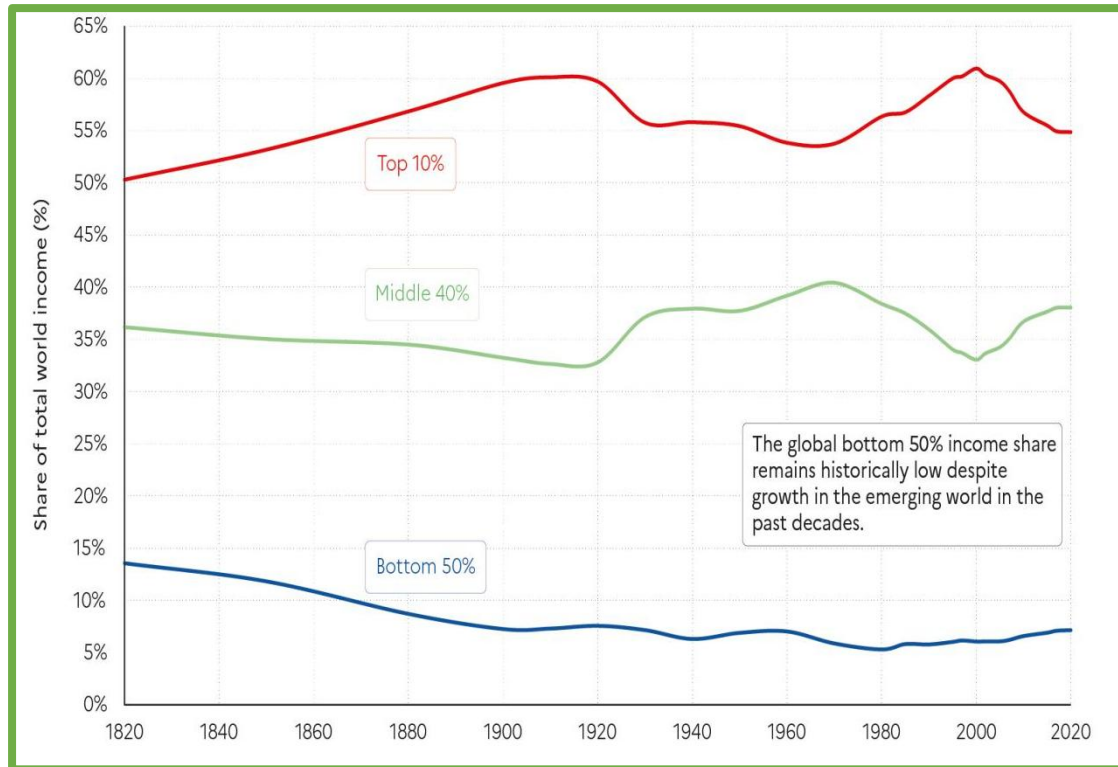
FIGURE 4. RELATIONSHIP BETWEEN PER CAPITA GNI AND GINI COEFFICIENT IN THE WORLD AS A WHOLE



This figure here is the aggregate of developed , developing and under developed countries.

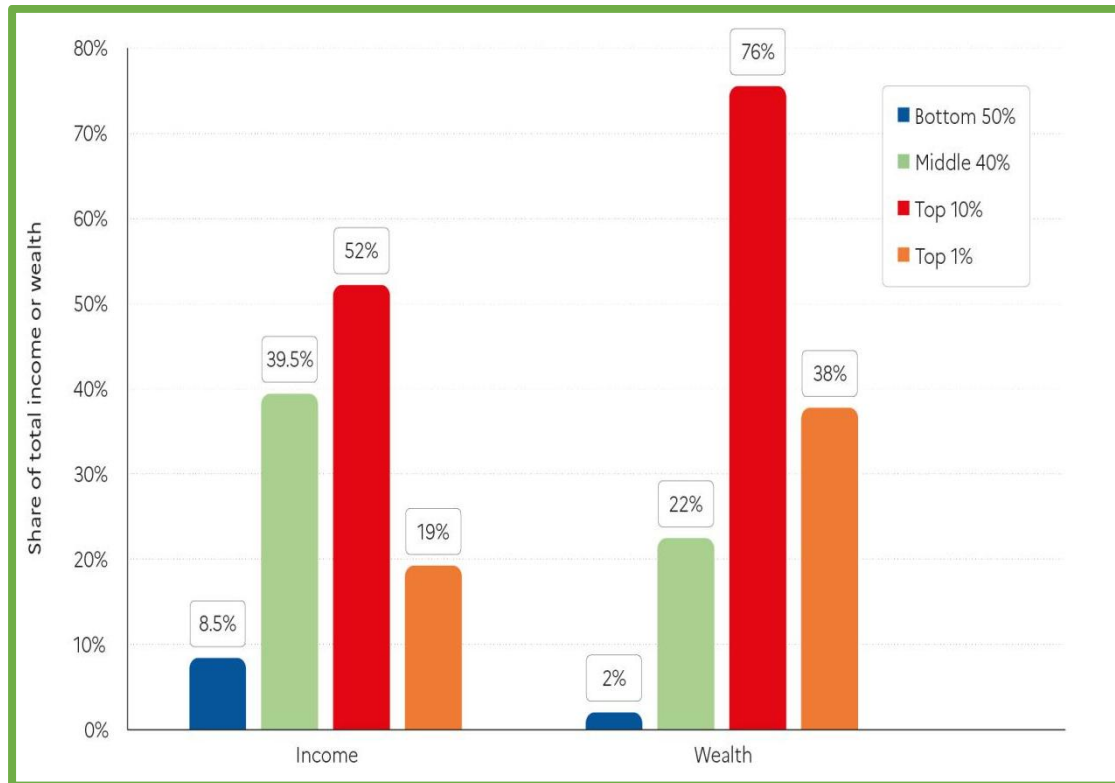
SOURCE FIGURE 1 TO 4 : FIGURES ARE SELF COMPILED BY AUTHOR'S BASED ON DATA FROM HUMAN DEVELOPMENT REPORT 2021

FIGURE 5. GLOBAL INCOME INEQUALITY: BOTTOM 50% ,MIDDLE 40%, AND TOP 10%,1820-2020



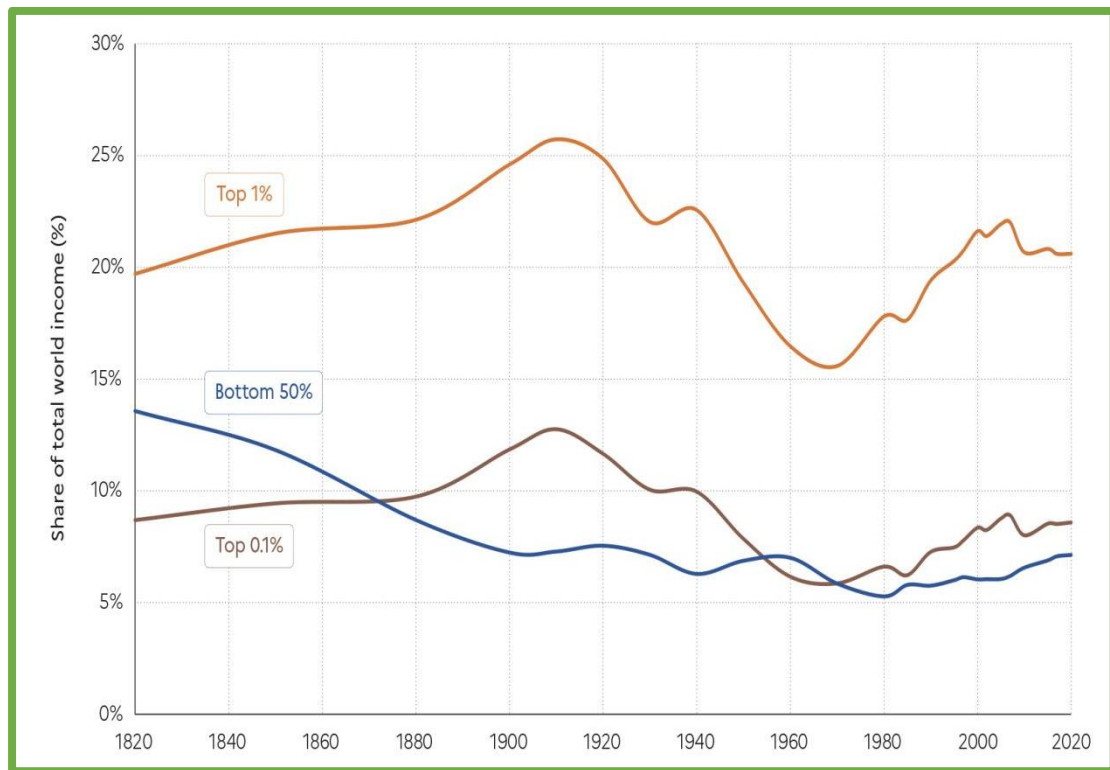
We can see a clear rise in global inequality between 1820 and 1910 in the above given figure. The top 10% share rose from 50% to 60%, while the bottom 50% share dropped from 14% to 7%. In contrast, the shift observed between 1910 and 2020 involves a number of contradictory changes and compensating trends. The bottom 50% share further dropped from 7% in 1910 to 5% in 1980, before rising to 7% in 2020, so that it is today very close to what it was in 1910. The top 10% share dropped from 60% in 1910 to 54% in 1970, before rising back to 61% by 2000, and declining again to 55% in 2020. If we look at the overall change between 1910 and 2020, there is no clear long-run trend in inequality, either downward or upward, except maybe a small improvement in the share of the global middle 40%.

FIGURE 6. GLOBAL INCOME AND WEALTH INEQUALITY, 2021



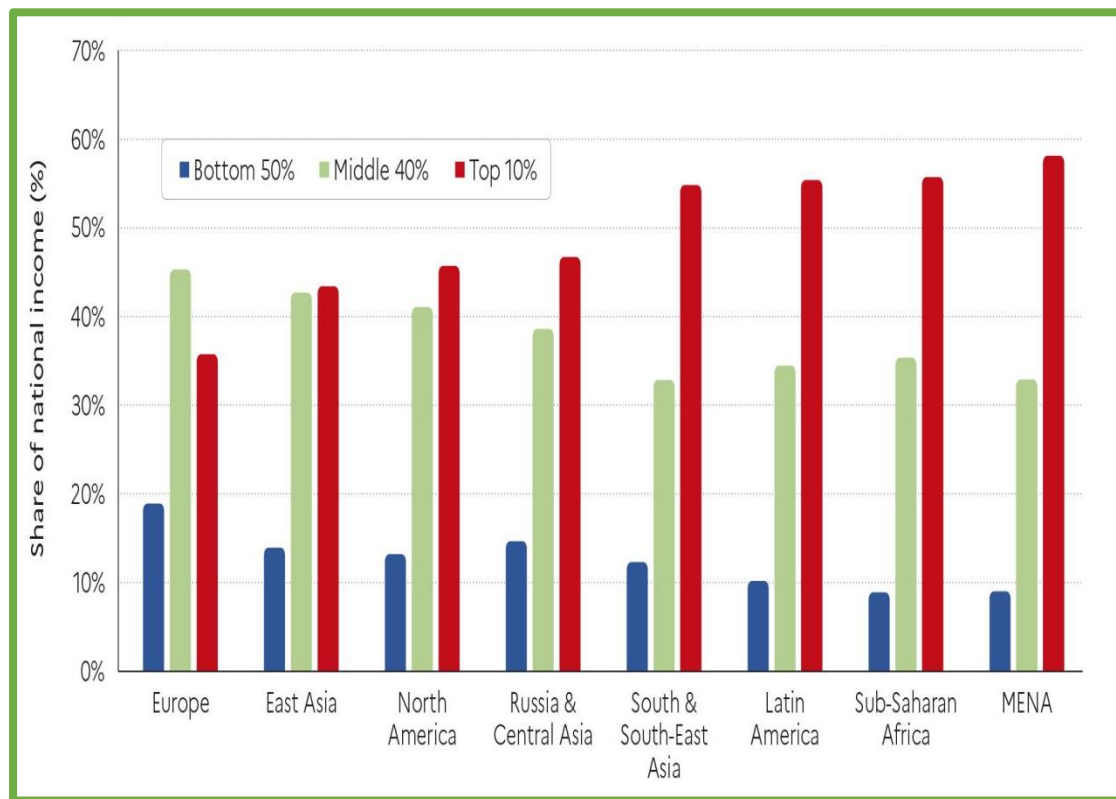
In this figure, Global wealth appears to be even more unequally distributed than global income. The poorest half of the world population owns just 2% of total net wealth, whereas the richest half owns 98% of all the wealth on earth. Between the richest half of the global population, the middle 40% owns just 22% of total wealth and the top 10% owns 76%

FIGURE 7. GLOBAL INCOME INEQUALITY: TOP 1% AND TOP 0.1% VS BOTTOM 50% SHARES, 1820-2020



This shows that the global top 1% share rose from 20% of total income in 1820 to 26% in 1910, before dropping to 16% in 1970 and rising again to 21% in 2020. Between 1880 and 2020, the global top 1% share was generally three to four times larger than the share of the bottom 50% (6%-9% of total income). For instance, both the bottom 50% income share and the top 0.1% share are about 8% of total income in 2020. This illustrates the extreme degree of global income inequality. It implies, for example, that a redistributive policy based on a reduction of one quarter or one third of the incomes of the top 0.1% could have a very significant impact on the incomes of the bottom 50% and on global poverty rates.

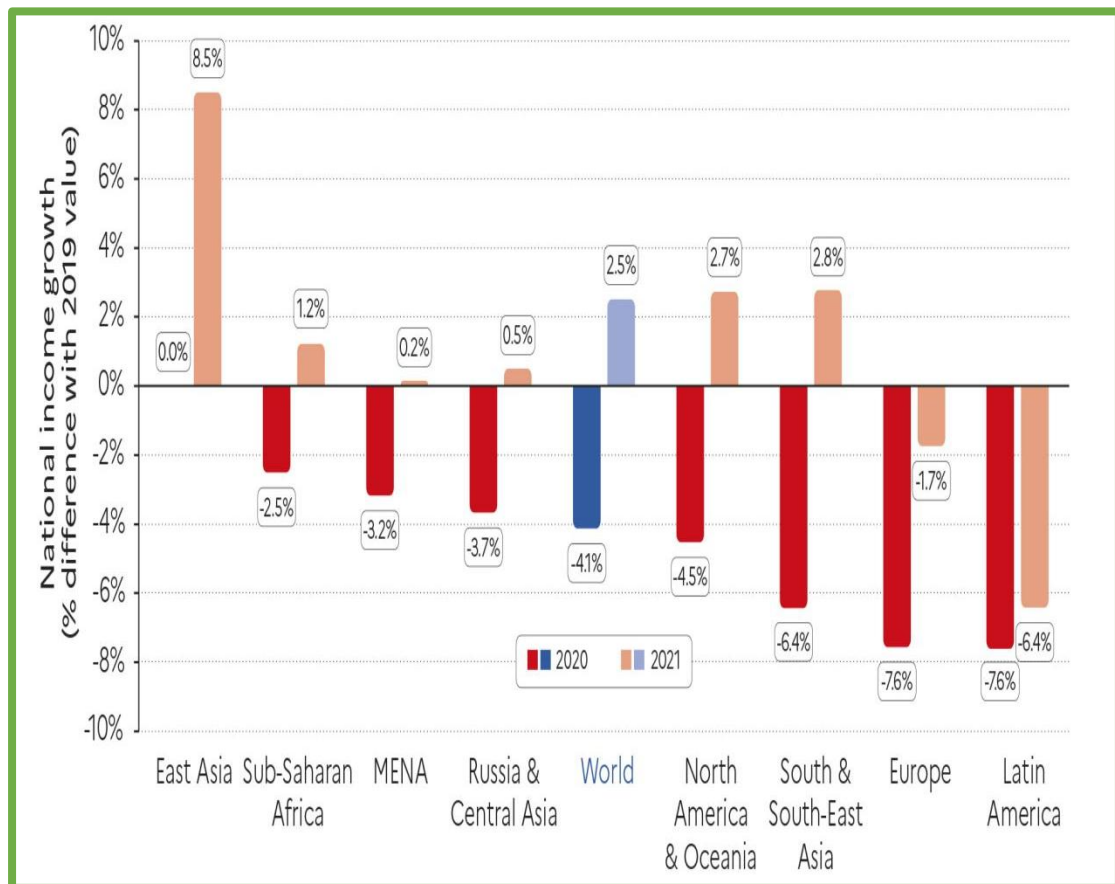
FIGURE 8. THE POOREST HALF LAGS BEHIND



This presents the top 10%, middle 40% and bottom 50% national income shares for various regions of the world. Nowhere in any of these regions does the bottom 50% gain above 20% or under 9-10%, meaning that it systematically earns between 40% and around 20% of the average. Regions with the smallest bottom 50% shares are Latin America, the Middle East and North Africa, Sub-Saharan Africa and South and Southeast Asia, where the bottom 50% captures 9-12% of national income. In these regions, inequality levels are on par with inequality levels recorded at the global level. Put differently, there is as much income inequality between world citizens as there is inequality between individuals living within Latin America or within Sub-Saharan Africa. This can be explained by the presence of dual societies within these regions – these are societies with a very affluent economic and political elite that enjoys high-income countries’ levels of prosperity, living next to individuals in extreme poverty. In other world regions, the bottom 50% is not as poor, either relatively absolutely: in North America, East Asia, and Russia and Central Asia, the bottom 50% share is close to 13% and the European bottom 50% captures 19% of national income. Turning to the other end of the distribution, the top 10% captures 36% of income in

Europe while this is 55-58% in the world's most unequal regions. The ranking of top 10% income shares mirrors the ranking of regions on the relative position of the bottom 50%: regions with very low bottom 50% shares have very high top 10% shares. Europe stands out as a relatively equal region – the only one with a middle 40% (to simplify, a “middle class”) that as a whole earns significantly more than the top 10%

**FIGURE 9. IMPACT OF COVID 19 RECESSION
ACROSS WORLD REGIONS, IN 2020-2021**



The global Covid-19 pandemic and the economic crisis that followed hit all world regions, but it hit them with varying intensity. Europe, Latin America, and South and Southeast Asia recorded the largest drops in national income in 2020 (between -6% and -7.6%) while East Asia (where the pandemic began) succeeded in stabilizing its 2020 income at the level of 2019.. It is quite clear, though, that the effects of the economic crisis continue to be unequally distributed across the world in 2021. In East Asia, projected growth for 2021 is 8% higher than in 2019, whereas Latin America will continue to suffer severely from the economic crisis (-6% growth). Europe is also projected to have lower incomes in 2021 than in 2019, but this region nevertheless shows a significant improvement over the 2020-2019 situation (-2%in 2021-2019).

SOURCE

FIGURE 5 TO 9 : WORLD INEQUALITY DATABASE

CHAPTER VI : FINDINGS

The study finds a weak positive correlation between Per Capita GNI and Gini Coefficient in case of Developed and Developing countries. This signifies that inequality and development are positively related. In case of Under developed countries, we find a negative correlation signifying a negative relation between Inequality and development. The developed countries fall mostly between \$40,000 and \$60,000 Per capita GNI and has index between 25 and 35 Gini coefficient. In Developing countries, we can see varying results. Countries with comparatively higher per capita GNI shows higher level of inequality and countries with lower per capita GNI shows lower degree of inequality and also the vice versa. Their Per capita GNI and levels of inequality are scattered. In Under developed countries, we find that most of the countries are concentrated within \$4000 Per capita GNI and Inequality is higher in that group. As countries approach towards higher per capita GNI, we can see the decrease in degree of inequality. It is also found that countries with similar per capita GNI shows different levels of inequality. When we aggregate Under developed, Developing and Developed countries together, we find that countries with lower per capita GNI (i.e. in under developed and some developing countries) inequality is higher when compared with countries with higher per capita GNI (i.e. in developed countries). Mostly the countries fall between range of 20 to 50 Gini coefficient index. So, we can say there exists a complex relationship between Inequality and Economic development.

When it comes to global inequality among bottom 50 %, middle 40% and top 10%, we found no significant changes from 1820-2020 apart from a small improvement in the middle 40 %. Global wealth is more unevenly distributed than that of global income. The bottom 50% does not even have 10% of income or constitute 3% of global wealth. Covid 19 also exacerbated the existing inequality in the world

CHAPTER VII : SIGNIFICANCE OF THE STUDY

Kudos to the significant dynamic shift that is currently occurring both locally and globally. The main concern or the very aim of the government should not be to warn the world about the harm that a nuclear war might cause. Instead, to discuss a much larger monster that is "the rising income inequality," which affects every part ,every corner of the world both separately and collectively. It is important to remember that income disparity is but one aspect of the global game of "economic inequality" that is performed to keep a big gap between the top tail few and the majority of people. A simple concern over the phenomenon won't make the paucity of lots to go away..Growing inequality can lead to the concentration of political and decision-making power in the hands of a select few, the inefficient use of human resources, political and economic instability that discourages investment, and an increase in crisis risk . It is important to keep inequality in mind when having social conversations all around the world because it is one of the largest social concerns we are and shall encounter in the future. Developed economies often have lower levels of inequality and higher income levels than emerging ones. They also offer greater possibilities. Developing nations are up against issues including the concentration of wealth among a few number of individuals, the lack of access to excellent education for the underprivileged, and weaker democratic institutions as they work to raise living standards. Between countries as well as within them, inequality exists.Long-term social and economic growth is at risk, poverty reduction is harmed, and people's feeling of fulfillment and self-worth are destroyed by inequality. As a result, there may be an increase in crime, illness, and environmental damage.If people are denied the chance for a better life, the goal of sustainable development cannot be acheived and we cannot make the planet a better place to live. And despite some encouraging developments, inequality is rising for more than 70% of the world's population, escalating the dangers of division and impeding economic and social progress.

CHAPTER VIII : CONCLUSION

In conclusion, inequality and economic growth have a complicated relationship. Extreme levels of inequality can have a negative impact on economic growth and development, even while some degree of inequality might be considered as a natural byproduct of a vibrant and active economy. Social discontent, a decline in human capital investment, and a lack of access to economic possibilities for individuals at the bottom of the income distribution are all consequences of inequality. On the other side, eliminating inequality can help the economy grow because it fosters stronger social cohesiveness, increases human capital investment, and improves access to job opportunities. To promote equitable and sustainable development for all, policymakers must carefully weigh the advantages of economic expansion against the need to alleviate inequality.

To ensure that everyone lives with dignity, equality can and should be attained. The needs of underprivileged and marginalised populations must be given special consideration in all political, economic, and social measures.

Radical transformation is required to reduce inequality. Extreme poverty and hunger must be eliminated, and more money must be spent on health, education, social protection, and decent employment, especially for young people, immigrants, refugees, and other vulnerable communities. Empowering people and fostering inclusive social and economic prosperity are crucial within nations. If we do away with discriminatory laws, policies, and practises, we may ensure equal opportunity and lessen wealth disparities. To make decisions on global issues more effective, trustworthy, and responsible, we must ensure that poor countries are adequately represented among nations.

Increasing people's opportunities Equal opportunity is a desirable but far-off objective. It demands that all children, regardless of where they live and the circumstances of their upbringing, be given equal opportunities to develop their potential and reap the benefits of their education through excellent jobs.

The lower quintiles of the income distribution need to be the focus of social and growth-enhancing policies more than ever because of the new face of inequality. Governments cannot passively wait for economic growth to improve the living conditions of the poor. According to Dreze

and Sen, policymakers should focus on social policy's comprehensiveness in particular.

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